

Amazon is betting on 3Vs - Voice, Video and Vernacular

We caught up with Mr Akshay Ahuja to get his perspective on the explosive growth Amazon India has seen in the consumer electronics space.

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Q What kind of growth has Amazon seen across the CEPC (consumer electronics and personal computing) category over the last 12 months? What do you think are the drivers of growth?

Amazon: Consumer Electronics & Personal Computing has been one of the fastest-growing categories on Amazon.in. Over the last year, we have seen close to 1.6X growth Y-O-Y; this is not just driven by metros but also Tier II & III cities. Demand in Tier II & III cities is growing close to close to 1.8X Y-O-Y.

Q Where has the growth come from as far as consumer demographics and repeat vs first time buyer is concerned?

Amazon: With the ongoing trend of working/studying from home, there has been a demand for good performing laptops, the latest 11th gen in core i3, core i5 and gaming laptops among customers to fulfil their needs. Laptops have remained a popular product amongst customers with 1.7X growth Y-o-Y on Amazon.in. We are also seeing growth in new customer acquisition for CEPC, with non-metro cities contributing to 86 percent of the new customers, and more than 50 percent of these new customers choose headphones as their first purchase on the marketplace.

Q Do you see this as a temporary growth triggered by the lockdown? Will the growth sustain once the offline market opens up and returns to normalcy?

Amazon: What we have learned from



Akshay Ahuja,
Category Leader - Consumer Electronics,
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the COVID-19 crisis is how important a role Amazon and e-commerce can play – for our customers as well as for small businesses and the economy. We did see a lot of customers shop online, not just in tier I & II cities but also in smaller towns. Today, 65 percent of customer orders and over 85 percent of new customers on Amazon.in are from tier 2 and below geographies. Customers across nearly 100 percent of India's serviceable pin codes shop with us. Amazon's investments in the 3Vs – voice, video and vernacular – is likely to see the next 200-300 million customers benefit from e-commerce in India's tier 2/3 cities. Its three key learnings from these markets in recent years have been customer comfort in shopping in regional languages, customer preference for voice over typed responses, and for hearing product narratives over reading them online.

Q How is the consumer spending sentiment in the industry this festive year as compared to the last one?

Amazon: We are humbled by how millions of Indian customers have made us a part of their daily lives. Also, custom-

ers continue to believe that online shopping is the safest way to shop which has been reflected in all the recent events of Amazon like the Prime Day 2021, Great Freedom Festival, Rakhi Store, Onam store and so on. This festive season is not a normal one for reasons we all know, and our success metric would be focused on how we can make our sellers successful.

Q We've seen publisher and influencer activations in the CEPC category; even Digit is an affiliate partner for some of them. How has that helped Amazon?

Amazon: Our focus is to provide customers with the widest selection, convenience, fast delivery and value. We want to reach our customers through every platform and help them make an informed purchase. These days, influencers are one of the mediums to reach customers and educate them about products and offers. Today, brands are depending on consistent, high-quality content to connect with their target audiences and educate them about their offering. If you look at Amazon, we realized that customers are looking to us to help them make the right purchase decision. We started with Buying Guides on Amazon.in and soon built several avenues such as Amazon Mobile Insider – a section that is dedicated to content around mobile phones. From reviews to decoding complicated tech specs, Amazon Mobile Insider carries content from reviewers and consumer tech experts, and we've just scratched the surface there. We would love for more content creators to share their expertise with customers on Amazon.in. We are humbled to have Digit as an affiliate partner. It is one of the largest online technology media portals that cater to the largest community of tech buyers, users, and enthusiasts in India. We are able to cater to our customers in a more efficient way with Digit and we look forward to creating a rewarding working journey together. **Q**